



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

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**Circular to Licensed Corporations
which are licensed for Type 1 or 8 regulated activity**

SFC's Advice to Securities Firms Offering IPO Financing

The SFC would like to remind securities firms that they should know their limits when subscribing for shares in Initial Public Offerings (IPO) on behalf of clients and avoid breaching the Securities and Futures (Financial Resources) Rules (FRR).

Treatment of IPO under the FRR

Under the FRR, the scale of IPO financing that a securities firm can provide is governed by the size of its regulatory capital (being the sum of its shareholders' funds and approved subordinated loans). Securities firms must take note of two important requirements:

- (a) Firstly, bank borrowings will increase the required liquid capital of a securities firm. If a securities firm borrows \$200 million bank financing for an IPO, its required liquid capital will increase by 5% of that amount, i.e. \$10 million.

The objective of the required liquid capital is to provide a capital buffer for any additional margin financing risks.

Bank loans and IPO client receivables must be stated at gross and not netted off each other.

- (b) Secondly, a securities firm is required to collect at least 10% of the subscription money from its clients, failing which the securities firm will have to fund the shortfall with its own regulatory capital.

Compliance with the FRR

Securities firms are strongly encouraged to estimate the volume of business they want to engage in for each IPO at an early stage and to update this estimate as frequently as possible. If securities firms envisage a very high volume of IPO business, they must



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take all appropriate measures well ahead of time to avoid breaching the FRR at any time. Securities firms may apply to the SFC for approval of subordinated loans or loan facilities.

During the IPO frenzy in December 2003, the SFC took, on average, less than four business days to process each application for approval of subordinated loans.

Securities firms who wish to apply for approval of subordinated loans or loan facilities are urged to ensure that they submit all necessary documentation and details that fulfill the regulatory requirements, as this will expedite the approval process.

Non-Compliance with the FRR

The SFC takes breaches of the FRR very seriously. A few weeks ago, the SFC reprimanded and imposed a disciplinary fine of over \$300,000 on a company for breaching the FRR for five days and for a delay of three and a half days in reporting the breach. In that case, the company underestimated its clients' demand for a particular IPO and took out a short-term loan to finance its clients' IPO applications, giving rise to a liquid capital shortfall and consequently breaching the FRR.

In the event that a securities firm has breached the FRR, it must report the breach to the SFC as soon as practicable. The law requires written notification of FRR breaches but the SFC encourages reporting by telephone at the earliest opportunity, to be followed by formal written notification.

If you have any queries on the above, please contact Ms Madonna Yip of the SFC's Intermediaries Supervision Department at 2842 7618.

Intermediaries Supervision
Securities and Futures Commission